TENTATIVE RULINGS

LAW AND MOTION CALENDAR

Judge Nathan Vu

Department N15

Hearing Date and Time: June 8, 2026 @ 9:00 AM

TENTATIVE RULINGS: The court will endeavor to post tentative rulings on this website by 3:00 p.m. on the day before the hearing. However, ongoing proceedings may prevent posting by that time or the court may have no tentative ruling on a matter.

Once a tentative ruling has been posted, the court may not entertain requests for continuance and may not consider additional papers.

ORAL ARGUMENT: The court will hear oral argument regarding law and motion matters on the hearing date and at the time stated above, unless all parties submit on the tentative ruling. Parties are not required to give notice of intent to appear.

If you wish to submit on the tentative ruling and do not intend to appear at the hearing, please inform opposing counsel and the court clerk by electronic mail n15@occourts.org or by telephone (657) 622-5615. If all parties submit on the tentative ruling or no parties or counsel appear for the hearing, then the tentative ruling shall become the final ruling.

APPEARANCES: Parties and counsel may appear at the law and motion hearing in-person or via Zoom. Persons appearing in-person shall come to Department N15 at the North Justice Center, 1275 N. Berkeley Avenue, Fullerton, CA 92832.

Persons appearing remotely must check-in online through the court's website at **https://www.occourts.org/general-information/covid-19-response/civil-covid-19-response/civil-remote-hearings** and then clicking on the button entitled "Department N15 Judge Nathan Vu".

Anyone having difficulty appearing remotely may contact the court clerk at (657) 622-5615.

All persons appearing remotely must abide by all applicable laws and rules, including Local Rule 375, and must obtain, test the functionality of, and learn how to use the Zoom application and all necessary equipment prior to the remote hearing. More information is available at https://www.occourts.org/media-relations/civil.html.

COURT REPORTERS: Court reporters employed by the court are NOT normally provided for law and motion matters in civil courtrooms. If a party desires a record of a law and motion proceeding, it is the party's responsibility to arrange for a privately-retained court reporter, who may appear in-person or remotely. Parties must comply with the Court's policy on the use of privately-retained court reporters, available at https://www.occourts.org/media/pdf/Privately_Retained_Court_Reporter_Policy.pdf.

1	**Wong vs. Ascendmed** **30-2022-01273280**	Motion to Dismiss Defendant Thuy Rucks Motion to Dismiss for Failure to Serve Complaint Within Three Years is GRANTED. Pending Motion Defendant Thuy Rucks aka Thuy Tu Nguyen (Defendant Rucks) moves to dismiss the Complaint filed by Plaintiffs Michael H. Wong, D.O., and Gary L. Baker, M.D. for failure to serve her within 3 years of filing of the Complaint. Standard for Motion to Dismiss Civil Procedure Code section 583.210 provides that: [T]he summons and complaint shall be served upon a defendant within three years after the action is commenced against the defendant. For the purpose of this subdivision, an action is commenced at the time the complaint is filed. (Code Civ. Proc., § 583.210; see *Elling Corp. v. Superior Court* (1975) 48 Cal.App.3d 89, 96 [defendant must be served with summons within three years of being added to the complaint].) If this requirement is not met, "[t]he action shall not be further prosecuted and no further proceedings shall be held in the action" and "[t]he action shall be dismissed by the court on its own motion or on motion of any person interested in the action, whether named as a party or not, after notice to the parties." (Code Civ. Proc., s 583.250, subd.s (a)(1), (a)(2).) Further, "[t]he requirements of this article are mandatory and are not subject to extension, excuse, or exception except as expressly provided by statute." (Code Civ. Proc., § 583.250, subd. (b).) Here, the record shows that the Complaint was filed on August 3, 2022, and at that time, Defendant Rucks was named in the Complaint. (See ROA #2.)

		The record also shows that Defendant Rucks was not served with the summons until November 23, 2025, (see ROA #98), more than three years after Defendant Rucks was first named in the Complaint. <u>Tolling of Three-Year Period</u> However, there are several circumstances provided by statute "that operate to toll the three-year period in which service must be made." (*Watts v. Crawford* (1995) 10 Cal.4th 743, 748.) Specifically, Civil Procedure section 583.240 states that: In computing the time within which service must be made pursuant to this article, there shall be excluded the time during which any of the following conditions existed: (a) The defendant was not amenable to the process of the court. (b) The prosecution of the action or proceedings in the action was stayed and the stay affected service. (c) The validity of service was the subject of litigation by the parties. (d) Service, for any other reason, was impossible, impracticable, or futile due to causes beyond the plaintiff's control. Failure to discover relevant facts or evidence is not a cause beyond the plaintiff's control for the purpose of this subdivision. (Code Civ. Proc., § 583.240.) With respect to the exception contained in Section 583.240(d), "[t]he burden of proof is on the plaintiff, and we will not disturb the trial court's determination unless the plaintiff also proves the trial court abused its discretion." (*State ex rel. Edelweiss Fund, LLC v. JP Morgan Chase & Co.* (2020) 58 Cal.App.5th 1113, 1121.) In addition, the exceptions codified in section 583.240, subdivision (d) must be construed

		strictly against the plaintiff." (*Shipley v. Sugita* (1996) 50 Cal.App.4th 320, 326.) <u>Stay of Action</u> Plaintiffs first contend that the three-year period for service of the Summons was tolled while the instant action was stayed from February 27, 2023 to June 13, 2024. On October 27, 2022, Defendant Fritz Baumgartner, M.D. (Defendant Baumgartner) filed a motion to stay the proceedings in this action pending the resolution of the criminal proceedings against him. (See ROA # 16.) On February 27, 2023, the court granted Defendant Baumgartner's motion to stay and "stay[ed] all proceedings in this action for an initial period of 6 months." (ROA # 52.) On June 13, 2024, the court held a Case Management Conference and "[u]pon inquiry of the Court, Counsel confirm[ed] the criminal matter ha[d] been resolved." (ROA #71.) The court then ordered that the stay be lifted. (*Ibid*.) At that time, the court and Counsel discussed service upon Defendant Rucks and the court admonished Counsel for Plaintiffs regarding the rules of court on service of the complaint. (See *ibid*.; see also (See Cal. Rules of Court, rule 3.110(b) ["The complaint must be served on all named defendants and proofs of service on those defendants must be filed with the court within 60 days after the filing of the complaint."].) The court continued the Case Management Conference for more than five months to November 21, 2024, and advised Counsel that it intended to dismiss any defendants who had not been served by that date. (See *ibid*.) In this case, the stay covered "all proceedings in this action" but did not encompass service on the defendants. The record indicates that Plaintiffs understood this and attempted to serve Defendant Rucks before the stay was lifted. (See Declaration of Candice Wheeler (Wheeler Decl.), ¶ 2 ["On June 6, 2024, I was assigned the task of personally serving Defendants THUY RUCKS aka THUY TU NGUYEN . . . ."].)

Moreover, Plaintiffs do not provide any evidence that the stay affected their ability serve Rucks, as required by Section 583.240(b).

Therefore, Plaintiffs fail to meet their burden to show that the February 27, 2023 stay "affected service." (Code Civ. Proc., § 583.240, subd. (b).)

As a result, the three-year period for service was not tolled pursuant to Section 583.240(b).

<u>Service Was Impossible, Impracticable, or Futile</u>

Plaintiffs next argue that the time to serve Defendant Rucks was tolled because service was impossible, impracticable, or futile due to causes beyond the Plaintiffs' control.

Whether a plaintiff exercised reasonable diligence is a relevant factor in evaluating whether service was impossible, impracticable, or futile, but proof of reasonable diligence does not itself excuse untimely service. (*Torrey Hills Community Coalition v. City of San Diego* (2010) 186 Cal.App.4th 429, 436-437; *Bishop v. Silva* (1991) 234 Cal.App.3d 1317, 1321-1322; *Dale v. ITT Life Ins. Corp.* (1989) 207 Cal.App.3d 495, 503, fn. 9.)

In addition, for Section 583.240(d) to apply, the plaintiff must show that service was impossible, impracticable, or futile due to "a cause beyond the plaintiff's control." (Code Civ. Proc., § 583.240, subd. (d).) Ordinarily, service is within the plaintiff's control. (*Bishop v. Silva*, *supra*, 234 Cal.App.3d at p. 1322.)

In this case, Plaintiffs' evidence does not show that it was impossible or impracticable to serve Defendant Rucks within the three-year period.

While Plaintiffs submit evidence that they attempted to serve Defendant Rucks at various addresses in June, July, and November of 2024, (see Wheeler Decl., ¶¶ 3-5, 7), they also concede that they were aware in 2022 of a criminal action involving Defendant Rucks, (see Declaration of Juan D. Garcia, Esq. (Garcia Decl.), ¶ 3.)

As Defendant Rucks notes, Plaintiffs could have checked the docket of her criminal case and determined when she would be appearing in the criminal court and served her at that time.

		Plaintiffs also point to the fact that, on November 15, 2024, six days before the court's deadline to serve Defendant Rucks, Plaintiff applied for orders for publication of the Summons and Complaint for Defendant Rucks and Defendant Sober Life USA, Inc. (See ROA # 77, # 81.) However, on November 20, 2024, the court denied Plaintiffs' Applications for Publication of Summons. (See ROA # 84.) The court found that Plaintiffs had not met the requirements for service by publication because "[o]ther than making one vague reference to skip-tracing and unsuccessfully requesting a forwarding address from the post office, Plaintiffs have not indicated what steps they have taken to obtain either the residential or business addresses of the Defendants, or what sources they have availed themselves of to obtain said addresses." (*Ibid*.) Further, Plaintiffs present no evidence as to why they were unable to serve Defendant Rucks in the nearly year-long period between November 20, 2024 (when the court denied Plaintiffs' Application for Public of Summons on Defendant Rucks) and November 18, 2025 (when Plaintiffs moved to amend the Complaint to name Defendant Rucks as Defendant Doe 1). (See ROA #84, #93.) Plaintiffs fail to meet their burden to show that "was impossible, impracticable, or futile due to causes beyond the plaintiff's control." (Code Civ. Proc., § 583.240, subd. (d).) Therefore, the three-year period for service was not tolled pursuant to Section 583.240(d). <u>Improper Amendment to Name Defendant Thuy Rucks as Doe Defendant</u> On November 21, 2024, the court dismissed Defendant Rucks without prejudice pursuant to the court's own motion as well Civil Procedure Code section 583.420(a)(1) and California Rules of Court rule 3.1340. (See ROA #89.) Almost a year later, on November 18, 2025, Plaintiffs amended the Complaint to name Defendant Rucks as Defendant Doe 1. However, in order to use this procedure, the plaintiff must be genuinely "ignorant of the name

		of the defendant" and the amendment may be made only "when [the doe defendant's] true name is discovered." (Code Civ. Proc., § 474.) In this case, at the time of the filing of the Complaint, Plaintiffs were aware of the name of Defendant Rucks because Plaintiff explicitly named her as a defendant in the Complaint. (See Compl., ¶ 6 ["Upon information and belief, Defendant THUY RUCKS aka THUY TU NGUYEN ("NGUYEN" or "Defendant") was the sole shareholder, officer, director, and principal of SOBER LIFE and currently resides in the County of Orange, State of California."].) Plaintiffs did not become aware of Defendant Rucks' true name on or around November 18, 2025, when they amended the Complaint to name her as a Doe Defendant. Thus, Plaintiffs improperly renamed Defendant Rucks as a Doe Defendant and the court will dismiss her for that reason. For these reasons, the court will grant the motion to dismiss. Defendant Rucks shall give notice of this ruling.
2	**Chen vs. Tesla Motors, Inc.** **30-2026-01537813**	<u>Motion to Compel Arbitration</u> Defendant Tesla Motors, Inc.'s Motion to Compel Binding Arbitration is GRANTED. The parties are ORDERED to arbitrate the claims asserted by Plaintiff Alex Chen in this action. This action shall be STAYED pending completion of the arbitration proceedings. *The court SETS an ADR Review Hearing for December 10, 2026, at 10:00 a.m. in Department N15. The Request for Judicial Notice in Support of Defendant Tesla Motors, Inc.'s Motion to Compel Arbitration is GRANTED as to Exhibit 3. (See Evid. Code, § 452, subd. (d).) <u>Pending Motion</u>

		Defendant Tesla Motors, Inc. moves to compel arbitration of the claims asserted in the Complaint filed by Plaintiff Alex Chen and to stay this action pending completion of the arbitration proceedings. <u>Standard for Compelling Arbitration</u> The law of this state with respect to arbitration agreements is contained in the California Arbitration Act (CAA), Civil Procedure Code section 1280, *et seq.* Under the CAA, when a party to an arbitration agreement refuses to submit to arbitration, the other party may petition the court to compel arbitration and stay any pending lawsuit. (See Code Civ. Proc., § 1281.2; *Condee v. Longwood Management Corp.* (2001) 88 Cal.App.4th 215, 218.) However, the right to arbitration is based on contract. (See *Little v. Pullman* (2013) 219 Cal.App.4th 558, 565.) Thus, the parties also may agree in the contract that the arbitration will be controlled by the Federal Arbitration Act (FAA). In addition, "[t]he FAA applies to any 'contract evidencing a transaction involving commerce' that contains an arbitration provision." (*Carbajal v. CWPSC, Inc.* (2016) 245 Cal.App.4th 227, 238, quoting 9 U.S.C. § 2.) The FAA states that written arbitration agreements "shall be valid, irrevocable, and enforceable, save upon such grounds as exist at law or in equity for the revocation of any contract." (9 U.S.C. § 2.) The United States Supreme Court has described 9 U.S.C. section 2 as reflecting both a "'liberal federal policy favoring arbitration,'" and the "'fundamental principle that arbitration is a matter of contract.'" (*AT & T Mobility LLC v.* Concepcion (2011) 563 U.S. 333, 339, quoting *Moses H. Cone Memorial Hospital v. Mercury Constr. Corp.* (1983) 460 U.S. 1, 24 and *Rent–A–Center, West, Inc. v. Jackson* (2010) 561 U.S. 63, 67.) As with the CAA, when a party to an arbitration agreement governed by the FAA refuses to submit to arbitration, the other party may petition the court to compel arbitration and stay any pending lawsuit. (See 9 U.S.C. § 4.)

		On a motion to compel arbitration under the FAA, the court's role is limited to deciding: "(1) whether there is an agreement to arbitrate between the parties; and (2) whether the agreement covers the dispute." (*Brennan v. Opus Bank* (9th Cir. 2015) 796 F.3d 1125, 1130.) If these conditions are satisfied, the court is without discretion to deny the motion and must compel arbitration. (9 U.S.C. § 4; see *Dean Witter Reynolds, Inc. v. Byrd* (1985) 470 U.S. 213, 218 ["By its terms, the [FAA] leaves no place for the exercise of discretion by a district court, but instead mandates that district courts shall direct the parties to proceed to arbitration."].) When deciding whether a valid arbitration agreement exists, courts generally apply "ordinary state-law principles that govern the formation of contracts." (*First Options of Chicago, Inc. v. Kaplan* (1995) 514 U.S. 938, 944.) Thus, the FAA permits arbitration agreements to be invalidated by "'generally applicable contract defenses, such as fraud, duress, or unconscionability.'" (*AT & T Mobility LLC v. Concepcion*, *supra*, 563 U.S. at p. 339, quoting *Doctor's Associates, Inc. v. Casarotto* (1996) 517 U.S. 681, 687.) The party seeking to compel arbitration bears an initial burden to make a *prima facie* showing the claims asserted in the complaint are covered by a valid agreement to arbitrate. (*Molecular Analytical Systems v. Ciphergen Biosystems, Inc.* (2010) 186 Cal.App.4th 696, 710-711.) Then, "the party resisting arbitration bears the burden of proving that the claims at issue are unsuitable for arbitration." (*Green Tree Fin. Corp. v. Randolph* (2000) 531 U.S. 79, 91.) Here, Defendant presents evidence that Plaintiff entered into a Retail Installment Sales Contract (RISC) that contained an arbitration provision that stated "Any arbitration under this Arbitration Provision shall be governed by the Federal Arbitration Act (9 U.S.C. § 1 *et seq.*)" (See Decl. of Raymond Kim in Supp. of Def.'s Mot. to Compel Binding Arbitration (Kim Decl.), ¶¶ 9-11 and Exh. 2 at p. 7.) Thus, any agreement to arbitrate in this case will be controlled by the FAA.

		The court therefore will determine whether there is an agreement to arbitrate and whether the agreement covers the dispute in this case. <u>Existence of Arbitration Agreement</u> With regard to the existence of an agreement to arbitrate, the party seeking to compel arbitration bears "the ultimate burden of proof, but the court [is] obliged to resolve the dispute using a three-step burden-shifting process." (*Iyere v. Wise Auto Group* (2023) 87 Cal.App.5th 747, 755.) The Court of Appeal explained that this process requires that: > The arbitration proponent must first recite verbatim, or provide a copy of, the alleged agreement. A movant can bear this initial burden "by attaching a copy of the arbitration agreement purportedly bearing the opposing party's signature." At this step, a movant need not "follow the normal procedures of document authentication" and need only "allege the existence of an agreement and support the allegation as provided in rule [3.1330]." > If the movant bears its initial burden, the burden shifts to the party opposing arbitration to identify a factual dispute as to the agreement's existence — in this instance, by disputing the authenticity of their signatures. To bear this burden, the arbitration opponent must offer admissible evidence creating a factual dispute as to the authenticity of their signatures. The opponent need not *prove* that his or her purported signature is not authentic, but must submit sufficient evidence to create a factual dispute and shift the burden back to the arbitration proponent, who retains the ultimate burden of proving, by a preponderance of the evidence, the authenticity of the signature. (*Ibid.*, citations omitted, quoting *Espejo v. Southern California Permanent Medical Group* (2016) 246 Cal.App.4th 1047, 1060 and *Condee v. Longwood Management Corp.*, *supra*, 88 Cal.App.4th at pp 218-219.)

		Here, Defendant has provided evidence that there exists a Motor Vehicle Order Agreement (MVOA) and a RISC, both of which contain arbitration provisions. (See Kim Decl.), ¶¶ 3-14, Exh. 1 at p. 3, Exh. 2 at p. 7.) Defendant also presents evidence that Plaintiff electronically accepted the terms and conditions of the MVOA on August 31, 2021, (see *id.*, ¶ 3, Exh. 1), and the RISC on September 28, 2021, (see *id.*, ¶ 3, Exh. 2.) Plaintiff failed to file an opposition or respond to the motion to compel arbitration. Thus, Plaintiff has waived any arguments regarding this issue. (See *Nazir v. United Airlines, Inc.* (2009) 178 Cal.App.4th 243, 288 [failure to address or oppose issue in motion constitutes waiver of that issue]; see *DuPont Merck Pharmaceutical Co. v. Superior Court* (2000) 78 Cal.App.4th 562, 566 [holding that failure to challenge contention in brief results in the concession on that issue].) Thus, Defendant has established the existence of an arbitration agreement. <u>Scope of Arbitration Agreement</u> Before the parties can be ordered to arbitration, the court must carefully examine the terms of the contract and apply the statutory rules of contract interpretation. (See *Bono v. David* (2007) 147 Cal.App.4th 1055, 1063. One overriding rule is that "[a] contract must be so interpreted as to give effect to the mutual intention of the parties as it existed at the time of contracting, so far as the same is ascertainable and lawful." (Civil Code, § 1636.) The parties' intent "is to be inferred, if possible, solely from the written provisions of the contract, and the 'clear and explicit' meaning of these provisions, interpreted in their 'ordinary and popular sense,' controls judicial interpretation unless 'used by the parties in a technical sense, or unless a special meaning is given to them by usage.'" (*Montrose Chemical Corp. v. Admiral Ins. Co.* (1995) 10 Cal.4th 645, 647, quoting Civil Code, §§ 1638, 1639, 1644, citations omitted.) Therefore, "[i]f the meaning a layperson would ascribe to the language of a contract of insurance

		is clear and unambiguous, a court will apply that meaning." (*Montrose Chemical Corp. v. Admiral Ins. Co.*, *supra*, 10 Cal.4th at p. 647; see *Bank of the West v. Superior Court* (1992) 2 Cal.4th 1254, 1264 ["If contractual language is clear and explicit, it governs."].) Defendant contends that the arbitration provision in the MVOA is broad and covers the claims asserted by Plaintiff against Defendant in this action: > Agreement to Arbitrate. Please carefully read this provision, which applies to any dispute between you and Tesla, Inc. and its affiliates, (together "Tesla"). > If you have a concern or dispute, please send a written notice describing it and your desired resolution to resolutions@tesla.com. > If not resolved within 60 days, you agree that any dispute arising out of or relating to any aspect of the relationship between you and Tesla will not be decided by a judge or jury but instead by a single arbitrator in an arbitration administered by the American Arbitration Association (AAA) under its Consumer Arbitration Rules. This includes claims arising before this Agreement, such as claims related to statements about our products. > We will pay all AAA fees for any arbitration, which will be held in the city or county of your residence. To learn more about the Rules and how to begin an arbitration, you may call any AAA office or go to www.adr.org. (Kim Decl., Ex. 1 at p 3.) Defendant also argues that the arbitration provision in the RISC is similarly broad and requires arbitration of the claims contained in the Complaint: > 1. EITHER YOU OR WE MAY CHOOSE TO HAVE ANY DISPUTE BETWEEN US DECIDED BY ARBITRATION AND NOT IN COURT OR BY JURY TRIAL. 2. IF A DISPUTE IS ARBITRATED, YOU WILL GIVE UP YOUR RIGHT TO PARTICIPATE AS A CLASS REPRESENTATIVE OR CLASS MEMBER ON

		ANY CLASS CLAIM YOU MAY HAVE AGAINST US INCLUDING ANY RIGHT TO CLASS ARBITRATION OR ANY CONSOLIDATION OF INDIVIDUAL ARBITRATIONS. 3. DISCOVERY AND RIGHTS TO APPEAL IN ARBITRATION ARE GENERALLY MORE LIMITED THAN IN A LAWSUIT, AND OTHER RIGHTS THAT YOU AND WE WOULD HAVE IN COURT MAY NOT BE AVAILABLE IN ARBITRATION. Any claim or dispute, whether in contract, tort, statute or otherwise (including the interpretation and scope of this Arbitration Provision, and the arbitrability of the claim or dispute), between you and us or our employees, agents, successors or assigns, which arises out of or relates to your credit application, purchase or condition of this vehicle, this contract or any resulting transaction or relationship (including any such relationship with third parties who do not sign this contract) shall, at your or our election, be resolved by neutral, binding arbitration and not by a court action. (*Id.*, Ex. 2 at p. 7.) The court agrees that the arbitration provisions of the MVOA and RISC are broad and encompass the claims asserted by Plaintiff in this action. (See *Bono v. David* (2007) 147 Cal.App.4th 1055, 1067 ["A 'broad' clause includes those using language such as 'any claim arising from or related to this agreement.'"], citation omitted; *Rice v. Downs* (2016) 248 Cal.App.4th 175, 186 [provision that uses language such as "'arising in connection with the [a]greement,'" is broad], quoting *Simula, Inc. v. Autoliv, Inc.* (9th Cir. 1999) 175 F.3d 716, 720–721.) As noted above, Plaintiff failed to file an opposition or respond to the motion to compel arbitration. Thus, Plaintiff has waived any arguments regarding this issue. Further, no basis has been presented to invalidate the arbitration provisions of the MVOA or RISC. Therefore, the court must grant the motion to compel arbitration. <u>Stay of Pending Court Action</u>

		Civil Procedure Code section 1281.4 provides: > If a court of competent jurisdiction, whether in this State or not, has ordered arbitration of a controversy which is an issue involved in an action or proceeding pending before a court of this State, the court in which such action or proceeding is pending shall, upon motion of a party to such action or proceeding, stay the action or proceeding until an arbitration is had in accordance with the order to arbitrate or until such earlier time as the court specifies. (Code Civ. Proc., § 1281.4.) The Court of Appeal has interpreted Section 1281.4 to mean that "[a]ny party to a judicial proceeding 'is entitled to a stay of those proceedings whenever (1) the arbitration of a controversy has been ordered, and (2) that controversy is also an issue involved in the pending judicial action.'" (*Heritage Provider Network, Inc. v. Superior Court* (2008) 158 Cal.App.4th 1146, 1152, quoting *Marcus v. Superior Court* (1977) 75 Cal.App.3d 204, 209.) This means that, as a general matter, if the court grants the motion to compel arbitration, it must stay the court action until completion of the arbitration. (See *Thomas v. Westlake* (2012) 204 Cal.App.4th 605, 620 [if court orders arbitration, "it must also stay proceedings on the claims until completion of arbitration"].) In addition to Section 1281.4, Section 3 of the FAA states that: > If any suit or proceeding be brought in any of the courts of the United States upon any issue referable to arbitration under an agreement in writing for such arbitration, the court in which such suit is pending, upon being satisfied that the issue involved in such suit or proceeding is referable to arbitration under such an agreement, shall on application of one of the parties stay the trial of the action until such arbitration has been had in accordance with the terms of the agreement, providing the applicant for

		the stay is not in default in proceeding with such arbitration. (9 U.S.C., § 3.) Here, the court has granted the motion to compel arbitration and ordered arbitration. Therefore, it must also order a stay of these proceedings pending completion of the arbitration. Defendant shall give notice of this ruling.
3	**Farooquee vs. Cinderella Cakes** **30-2024-01423993**	<u>Motion to Specially Set Hearing</u> Defendant Cinderella Cakes' Motion for an Order to Specially Set Hearing Date on or Within 30 Days of Trial on Motion for Summary Judgment/Adjudication or, in the Alternative, to Continue Trial Date is taken OFF CALENDAR pursuant Defendant's Notice of Withdrawal of Motion for an Order to Specially Set Hearing Date on or Withing 30 Days of Trial on Motion for Summary Judgment/Adjudication filed on June 4, 2026 (ROA #103).
4	**Othman vs. Monetiva Inc.** **30-2025-01511444**	<u>Motion to Confirm Validity of Service</u> Plaintiff Tarek Othman's Motion to Confirm Validity of Prior Service on Defendant EndlessOne Global Inc. Via Nevada Secretary of State Pursuant to Nev. Rev. Stat. § 14.030 is DENIED. Plaintiff Tarek Othman's Motion for Ordering [sic] Authorizing Service of Defendant EndlessOne Global Inc. Via Nevada [or California] Secretary of State is GRANTED. The court ORDERS that service may be effectuated upon Defendant EndlessOne Global Inc. by personal delivery to the California Secretary of State or to an assistant or deputy secretary of state of one copy of the process and this order. The court further ORDERS that California Secretary of State or her agents shall send the process to EndlessOne Global Inc., 1800 East

		Century Park, Suite 600, Century City, CA 90067. <u>Pending Motion</u> Plaintiff Tarek Othman moves to confirm the validity of Plaintiff's December 4, 2025 service of the Summons and Complaint on Defendant EndlessOne Global Inc. (Defendant EndlessOne) effectuated via the Nevada Secretary of State on December 4, 2025. In the alternative, Plaintiff moves for an order authorizing service of the Summons and Complaint on Defendant EndlessOne via the Nevada Secretary of State and/or the California Secretary of State. <u>Prior Service of Process</u> Civil Procedure Code section 413.10 states that "a summons shall be served on a person . . . [o]utside this state but within the United States, as provided in this chapter or as prescribed by the law of the place where the person is served." (Code Civ. Proc., § 413.10, subd. (b).) Here, Plaintiff purported to serve Defendant EndlessOne in Nevada. (See ROA #19.) Nevada Revised Statutes section 14.030 provides that when a corporation fails to appoint a registered agent, "Plaintiff must first file an affidavit 'setting forth the facts, showing that due diligence has been used to ascertain the whereabouts of the officers of the artificial person to be served, and the facts showing that direct or personal service on, or notice to, the artificial person cannot be had.'" (*LG Capital Funding, LLC v. Worthington Energy, Inc.* (E.D.N.Y., Feb. 20, 2018, No. 16CV6288NGGST) 2018 WL 1370266, at p. *3, quoting Nev. Rev. Stat. Ann. § 14.030(3).) After filing the affidavit, Plaintiff must provide the Nevada Secretary of State with: "(1) a certificate of Nevada's Secretary of State showing a failure to appoint a registered agent; (2) a payment of a $10 fee; and (3) a copy of the legal process service with a citation to the relevant statute." (*Ibid.*, citing Nev. Rev. State. Ann. § 14.030(1).)

		Once a plaintiff has served the Secretary of State in this manner, "Plaintiff must also mail the documents to the last known address of the corporation or one of its officers, if known, by registered or certified mail." (*Ibid.*, citing Nev. Rev. State. Ann. § 14.030(4).) Here, Plaintiff presents evidence that Defendant EndlessOne's registered agent for service of process resigned on September 26, 2022, and that Defendant EndlessOne did not thereafter designate a new registered agent as required by Nevada Revised Statutes section 14.020. (See Decl. of Michelle J. Correll (Correll Decl.), ¶¶ 2-3, Exh.s 1-2.) Nevada Secretary of State records identify Najwa Karkaji and Nabil Bader as Defendant EndlessOne's last-named officers. (See *id.*, ¶ 2, Exh. 1; Decl. of George Franco (Franco Decl.), ¶ 2.) Plaintiff submitted declarations indicating that Plaintiff unsuccessfully attempted to locate and personally serve Karkaji and Bader. (See Correll Decl., ¶¶ 5-6, Exh. 3; Franco Decl., ¶¶ 3-4.) Plaintiff also filed an affidavit of due diligence pursuant to Nevada Revised Statutes section 14.030, stating that Plaintiff attempted to locate and personally serve Karkaji and Bader but was unsuccessful. (See ROA #12; Correl Decl., ¶ 7, Exh. 4.) On December 4, 2025, Plaintiff served the Summons and Complaint on Defendant EndlessOne by delivering a copy to the Nevada Secretary of State. (See *id.*, ¶ 8, Exh. 5.) Plaintiff also mailed copies of the Summons and Complaint to Defendant EndlessOne, Karkaji, and Bader at their last-know addresses. (See ROA #21; Correll Decl., ¶ 9, Exh. 6.) However, Plaintiff did not present evidence that Plaintiff had served on the Nevada Secretary of State a certificate showing Defendant EndlessOne's failure to appoint a registered agent or failure to file a statement of change of registered agent or that Plaintiff made the required payment of the $10 fee. (See *id.*, ¶ 8, Exh. 5.)

		Therefore, Plaintiff has not established compliance with Nevada Revised Statute section 14.030 and the court cannot grant the motion to confirm validity of the service effectuated on December 4, 2025. <u>Order to Serve Nevada or California Secretary of State</u> In the alternative, Plaintiff seeks an order allowing service on the Nevada Secretary of State or the California Secretary of State. Here, Nevada Revised Statute section 14.030 does not appear to require a prior court order to effectuate service pursuant to its provisions. However, California Corporations Code section 2111 provides that: > If the agent designated for the service of process is a natural person and cannot be found with due diligence at the address stated in the designation or if the agent is a corporation and no person can be found with due diligence to whom the delivery authorized by Section 2110 may be made for the purpose of delivery to the corporate agent, or if the agent designated is no longer authorized to act, or if no agent has been designated and if no one of the officers or agents of the corporation specified in Section 2110 can be found after diligent search and it is so shown by affidavit to the satisfaction of the court, then the court may make an order that service be made by personal delivery to the Secretary of State or to an assistant or deputy secretary of state of two copies of the process together with two copies of the order, except that if the corporation to be served has not filed the statement required to be filed by Section 2105 then only one copy of the process and order need be delivered but the order shall include and set forth an address to which the process shall be sent by the Secretary of State. (Corp. Code, § 2111, subd. (a).) (fn.1) (fn.1) Corporations Code section 2110 controls service of process upon a foreign corporation so that it is implied that Corporations Code section

		2111 also applies to foreign corporations. There is a provision that is analogous to Section 2111 that applies to domestic corporations. (See Corp. Code, § 1702.) Here, Plaintiff has shown that "the agent designated is no longer authorized to act" and that "no agent has been designated and [] no one of the officers or agents of the corporation specified in Section 2110 can be found after diligent search." (Corp. Code, § 2111, subd. (a).) Plaintiff has also presented evidence that Defendant EndlessOne has not made the statement required by Corporations Code section 2105. (See Correll Decl., ¶ 4.) Therefore, the court will order that service be effectuated by personal delivery to the California Secretary of State or to an assistant or deputy secretary of state of one copy of the process and order. Plaintiff shall give notice of this ruling.
5	**Navarro vs. Abdo** **30-2022-01287775**	<u>Motion to Be Relieved as Counsel</u> Counsel Marc P. Grismer, Esq.'s Motion to Be Relieved as Counsel for Plaintiff Miguel A. Navarro is GRANTED. Counsel Marc P. Grismer, Esq. is ORDERED to submit to this court a proposed Order Granting Attorney's Motion to Be Relieved as Counsel – Civil (Form MC-053), that is completely and correctly completed, within 10 days of this ruling. Within 15 days of receiving the signed Form MC-053 back from the court, Counsel Marc P. Grismer, Esq. is ORDERED to serve Plaintiff Miguel A. Navarro with the signed Form MC-053 and notice of this ruling, in the manner described in Rules of Court rule 3.1362(d). Counsel Marc P. Grismer, Esq. shall be relieved as counsel of record for Plaintiff Miguel A. Navarro effective upon the filing of a proof of service showing timely service of the signed Form MC-053 and notice of this ruling. <u>Pending Motion</u>

		Counsel Marc P. Grismer, Esq. (Counsel) moves to be relieved as counsel for Plaintiff Miguel A. Navarro. <u>Standard to Be Relieved as Counsel</u> "The attorney in an action or special proceeding may be changed at any time before or after judgment or final determination . . . [u]pon the order of the court, upon the application of either client or attorney, after notice from one to the other." (Code Civ. Proc., § 284.) The notice of motion and motion to be relieved as counsel under Civil Procedure Code section 284 shall be directed to the client and shall be made on the Judicial Council's Notice of Motion and Motion to Be Relieved as Counsel-Civil form (Form MC-051). (Cal. Rules of Court, rule 3.1362(a).) No memorandum is required for the motion. (See Cal. Rules of Court, rule 3.1362(b).) However, "[t]he motion to be relieved as counsel must be accompanied by a declaration on the *Declaration in Support of Attorney's Motion to Be Relieved as Counsel – Civil* (form MC-052). The declaration must state in general terms and without compromising the confidentiality of the attorney-client relationship why a motion under Code of Civil Procedure section 284(2) is brought instead of filing a consent under Code of Civil Procedure section 284(1)." (Cal. Rules of Court, rule 3.1362(c), italics original.) In addition, "[t]he proposed order relieving counsel must be prepared on the *Order Granting Attorney's Motion to Be Relieved as Counsel--Civil* (form MC-053) and must be lodged with the court with the moving papers." (Cal. Rules of Court, rule 3.1362(e), italics original.) Motions to be relieved as counsel "must be served on the client and on all other parties who have appeared in the case" and service must be made by "personal service, electronic service, or mail." (Cal. Rules of Court, rule 3.1362(d).) If the motion is served by mail, it shall be accompanied by a declaration stating facts showing either that (1) the service address is the current residence or business address of the client

		or (2) the service address is the last known residence or business address of the client and the attorney has been unable to locate a more current address after making reasonable efforts to do so within 30 days prior to filing the motion. (Cal. Rules of Court, rule 3.1362(d)(1).) "As used in this rule, 'current' means that the address was confirmed within 30 days before the filing of the motion to be relieved. Merely demonstrating that the notice was sent to the client's last known address and was not returned or no electronic delivery failure message was received is not, by itself, sufficient to demonstrate that the address is current." (*Ibid.*) If the motion is served by electronic mail, "it must be accompanied by a declaration stating that the electronic service address is the client's current electronic service address." (Cal. Rules of Court, rule 3.1362(d)(2).) The motion may be brought on various grounds, some of which include the client's failure to pay attorney fees, (*People v. Prince* (1968) 268 Cal.App.2d 398, 406); the client's insistence on an action that is not justified under existing law or by good faith argument, (*Estate of Falco v. Decker* (1987) 188 Cal.App.3d 1004, 1015); and a conflict of interest between counsel and the client, (*Aceves v. Superior Court* (1996) 51 Cal.App.4th 584, 592.) However, under the Rules of Professional Conduct, "a member shall not terminate a representation until the lawyer has taken reasonable steps to avoid reasonably foreseeable prejudice to the rights of the client, such as giving the client sufficient notice to permit the client to retain other counsel, and complying with paragraph (e)." (Rules Prof. Conduct, rule 1.16(d); see *Ramirez v. Sturdevant* (1994) 21 Cal.App.4th 904, 915.) Thus, the court has discretion to deny a motion to be relieved as counsel where discharging counsel would result in "undue prejudice to the client's interests, " (*Ramirez vs. Sturdevant* (1994) 21 Cal.App.4th 904, 915), or "an unreasonable disruption of the orderly processes of justice," (*People v. Ortiz* (1990) 51 Cal.3d 975, 979). The court may also deny an attorney's request to withdraw "where such withdrawal would work an injustice or cause undue delay in the proceeding".

		(*Mandell v. Superior Court* (1977) 67 Cal.App.3d 1, 4.) However, such discretion is to be exercised reasonably. (*Ibid.*) In this case, Counsel has complied with the requirements of the California Rules of Court, including serving the client with the motion papers by mail, after confirming within the last 30 days that the address is the client's current address. Counsel also has declared a justifiable reason to be relieved as counsel — the breakdown of the attorney-client relationship and a material breach of the retainer agreement. In addition, there are no substantive hearings on calendar and trial is not set until February 1, 2027. (See ROA #73.) Thus, given that the trial will not commence for 8 months, Plaintiff Miguel A. Navarro will have sufficient time to find new counsel and will not be unduly prejudiced in his ability to prepare for and try the case. Further, no opposition has been filed setting forth prejudice to Plaintiff Miguel A. Navarro or any other party should the court grant the motion to be relieved as counsel. (See *Nazir v. United Airlines, Inc.* (2009) 178 Cal.App.4th 243, 288 [failure to address or oppose issue in motion constitutes waiver of that issue].) Therefore, the court will grant the motion to be relieved as counsel. Counsel shall give notice of this ruling in the manner ordered by the court.
6	**Four Aces Remodeling, LLC vs. Always in Motion, LLC** **30-2024-01449453**	<u>Motion to Be Relieved as Counsel</u> Counsel Zachary McCready's Motion to Be Relieved as Counsel for Plaintiff Four Aces Remodeling, LLC is GRANTED. Counsel Zachary McCready ORDERED to submit to this court a proposed Order Granting Attorney's Motion to Be Relieved as Counsel – Civil (Form MC-053), that is completely and correctly completed and includes all upcoming hearing dates and the trial date, within 10 days of this ruling.

		Within 15 days of receiving the signed Form MC-053 back from the court, Counsel Zachary McCready is ORDERED to serve Plaintiff Four Aces Remodeling, LLC with the signed Form MC-053, notice of the Order to Show Cause hearing set forth below, and notice of this ruling, in the manner described in Rules of Court rule 3.1362(d). Counsel Zachary McCready shall be relieved as counsel of record for Plaintiff Four Aces Remodeling, LLC effective upon the filing of a proof of service showing timely service of the signed Form MC-053, notice of the Order to Show Cause hearing, and notice of this ruling. The Court SETS a hearing on an Order to Show Cause re: Striking the Answer to the Amended Cross-Complaint for Failure to Retain Counsel on August 26, 2026 at 10:00 am in Department N15. Counsel Zachary McCready remains and shall continue to act as counsel of record for Plaintiff Four Aces Remodeling, LLC. <u>Pending Motion</u> Counsel Zachary McCready (Counsel) moves to be relieved as counsel for Plaintiff Four Aces Remodeling, LLC. <u>Standard to Be Relieved as Counsel</u> "The attorney in an action or special proceeding may be changed at any time before or after judgment or final determination . . . [u]pon the order of the court, upon the application of either client or attorney, after notice from one to the other." (Code Civ. Proc., § 284.) The notice of motion and motion to be relieved as counsel under Civil Procedure Code section 284 shall be directed to the client and shall be made on the Judicial Council's Notice of Motion and Motion to Be Relieved as Counsel-Civil form (Form MC-051). (Cal. Rules of Court, rule 3.1362(a).) No memorandum is required for the motion. (See Cal. Rules of Court, rule 3.1362(b).) However, "[t]he motion to be relieved as counsel must be accompanied by a declaration on the *Declaration in Support of Attorney's Motion to Be*

		Relieved as Counsel – Civil (form MC-052). The declaration must state in general terms and without compromising the confidentiality of the attorney-client relationship why a motion under Code of Civil Procedure section 284(2) is brought instead of filing a consent under Code of Civil Procedure section 284(1).” (Cal. Rules of Court, rule 3.1362(c), italics original.) In addition, “[t]he proposed order relieving counsel must be prepared on the *Order Granting Attorney's Motion to Be Relieved as Counsel--Civil* (form MC-053) and must be lodged with the court with the moving papers.” (Cal. Rules of Court, rule 3.1362(e), italics original.) Motions to be relieved as counsel “must be served on the client and on all other parties who have appeared in the case” and service must be made by “personal service, electronic service, or mail.” (Cal. Rules of Court, rule 3.1362(d).) If the motion is served by mail, it shall be accompanied by a declaration stating facts showing either that (1) the service address is the current residence or business address of the client or (2) the service address is the last known residence or business address of the client and the attorney has been unable to locate a more current address after making reasonable efforts to do so within 30 days prior to filing the motion. (Cal. Rules of Court, rule 3.1362(d)(1).) “As used in this rule, ‘current’ means that the address was confirmed within 30 days before the filing of the motion to be relieved. Merely demonstrating that the notice was sent to the client's last known address and was not returned or no electronic delivery failure message was received is not, by itself, sufficient to demonstrate that the address is current.” (*Ibid.*) If the motion is served by electronic mail, “it must be accompanied by a declaration stating that the electronic service address is the client's current electronic service address.” (Cal. Rules of Court, rule 3.1362(d)(2).) The motion may be brought on various grounds, some of which include the client’s failure to pay attorney fees, (*People v. Prince* (1968) 268 Cal.App.2d 398, 406); the client’s insistence on an action that is not justified under existing law or by

		good faith argument, (*Estate of Falco v. Decker* (1987) 188 Cal.App.3d 1004, 1015); and a conflict of interest between counsel and the client, (*Aceves v. Superior Court* (1996) 51 Cal.App.4th 584, 592.) However, under the Rules of Professional Conduct, "a member shall not terminate a representation until the lawyer has taken reasonable steps to avoid reasonably foreseeable prejudice to the rights of the client, such as giving the client sufficient notice to permit the client to retain other counsel, and complying with paragraph (e)." (Rules Prof. Conduct, rule 1.16(d); see *Ramirez v. Sturdevant* (1994) 21 Cal.App.4th 904, 915.) Thus, the court has discretion to deny a motion to be relieved as counsel where discharging counsel would result in "undue prejudice to the client's interests, " (*Ramirez vs. Sturdevant* (1994) 21 Cal.App.4th 904, 915), or "an unreasonable disruption of the orderly processes of justice," (*People v. Ortiz* (1990) 51 Cal.3d 975, 979). The court may also deny an attorney's request to withdraw "where such withdrawal would work an injustice or cause undue delay in the proceeding". (*Mandell v. Superior Court* (1977) 67 Cal.App.3d 1, 4.) However, such discretion is to be exercised reasonably. (*Ibid.*) In this case, Counsel has complied with the requirements of the California Rules of Court, including serving the client with the motion papers by mail, after confirming within the last 30 days that the address is the client's current address. Counsel also has declared a justifiable reason to be relieved as counsel — the breakdown of the attorney-client relationship and the client's failure to fulfill agreed upon financial obligations for legal services. The court previously continued the hearing on this motion because other motions had hearings that were imminent. The hearings on those other motions have now been conducted. The only substantive hearings that affect Plaintiff Four Aces Remodeling, LLC are the hearing on the motion to expunge the mechanic's lien, which is set to be heard September 28, 2026, and the trial in this action, which is set for October 26, 2026.

		Thus, Plaintiff Four Aces Remodeling, LLC will have sufficient time to find new counsel and will not be unduly prejudiced in its ability to prepare for and try the case. Further, the court will entertain motions to continue the trial if necessary to avoid prejudice to Plaintiff Four Aces Remodeling. In any case, no opposition has been filed setting forth prejudice to Plaintiff Four Aces Remodeling, LLC or any other party should the court grant the motion to be relieved as counsel. (See *Nazir v. United Airlines, Inc.* (2009) 178 Cal.App.4th 243, 288 [failure to address or oppose issue in motion constitutes waiver of that issue].) Therefore, the court will grant the motion to be relieved as counsel. However, Plaintiff Four Aces Remodeling, LLC is a limited liability company or other artificial legal entity that cannot represent itself and must retain counsel to act on its behalf in court. (See *Gamet v. Blanchard* (2001) 91 Cal.App.4th 1276, 1284 fn.5; *Rogers v. Sonoma County Municipal Court* (1988) 197 Cal.App.3d 1314, 1318.) While the ban on self-represented artificial legal entities does not prevent the court from granting the motion to withdraw, it does place pressure on Plaintiff Four Aces Remodeling, LLC to obtain new counsel or risk forfeiting important rights through non-representation, such as striking of its answer to the amended cross-complaint and entering default against it. (See *Rogers v. Sonoma County Municipal Court*, *supra*, 197 Cal.App.3d at p. 1318; *Ferruzzo v. Superior Court* (1980) 104 Cal.App.3d 501, 504.) Therefore, it is incumbent upon the court and Counsel to advise the Plaintiff Four Aces Remodeling, LLC or the representatives of Plaintiff Four Aces Remodeling, LLC of the necessity of obtaining representation and to ensure that they obtain representation. (See *Rogers v. Sonoma County Municipal Court*, *supra*, 197 Cal.App.3d at p. 1318.) The court will issue an Order to Show Cause re: Striking the Answer to the Amended Cross-Complaint for Failure to Retain Counsel, and will order that Counsel serve Plaintiff Four Aces Remodeling, LLC with the order relieving counsel,

		notice of the order to show cause, and notice of this ruling. Counsel shall give notice of this ruling in the manner ordered by the court.
7	**Bello vs. Thapa** **30-2025-01514784**	<u>Motion for Leave to Amend</u> Plaintiff Rigoberto Perez Bello's Motion for Leave to File First Amended Complaint is GRANTED. Plaintiffs Rigoberto Perez Bello and Patricia Grace shall file and serve the First Amended Complaint – Personal Injury, Property Damages, Wrongful Death, attached as Exhibit A to the Declaration of Dmitri N. Chtyrev, Esq. in Support of Motion for Leave to File First Amended Complaint, within 30 days of this ruling. <u>Pending Motion</u> Plaintiff Rigoberto Perez Bello moves for leave to file the First Amended Complaint – Personal Injury, Property Damages, Wrongful Death (First Amended Complaint). <u>Standard for Leave to Amend</u> The Civil Procedure Code provides that: > The court may, in furtherance of justice, and on any terms as may be proper, allow a party to amend any pleading or proceeding by adding or striking out the name of any party, or by correcting a mistake in the name of a party, or a mistake in any other respect; and may, upon like terms, enlarge the time for answer or demurrer. The court may likewise, in its discretion, after notice to the adverse party, allow, upon any terms as may be just, an amendment to any pleading or proceeding in other particulars; and may upon like terms allow an answer to be made after the time limited by this code. (Code Civ. Proc., § 473, subd. (a)(1).) Leave to amend should be granted liberally at all stages of the proceedings in order to accomplish

		substantial justice for both parties and to resolve cases on their merits. (See *Hirsa v. Superior Court* (1981) 118 Cal.App.3d 486, 488-489; *IMO Development Corp. v. Dow Corning* (1982) 135 Cal.App.3d 451, 461.) As the Court of Appeal has explained: [T]rial courts should be guided by two general principles: (1) whether facts or legal theories are being changed and (2) whether the opposing party will be prejudiced by the proposed amendment. Frequently, each principle represents a different side of the same coin: If new facts are being alleged, prejudice may easily result because of the inability of the other party to investigate the validity of the factual allegations while engaged in trial or to call rebuttal witnesses. If the same set of facts supports merely a different theory – for example, an easement as opposed to a fee – no prejudice can result. (*City of Stanton v. Cox* (1989) 207 Cal.App.3d 1557, 1563.) With respect to the first requirement, "[t]he basic rule applicable to amendments to conform to proof is that the amended pleading must be based upon the same general set of facts as those upon which the cause of action or defense as originally pleaded was grounded." (*Union Bank v. Wendland* (1976) 54 Cal.App.3d 393, 400-401.) In other words, "[t]he power to permit amendments is interpreted very liberally as long as the plaintiff does not attempt to state facts which give rise to a wholly distinct and different legal obligation against the defendant." (*Herrera v. Superior Court* (1984) 158 Cal.App.3d 255, 259.) With respect to the second requirement, prejudice that may support denying amendment includes "delay in trial, loss of critical evidence, or added costs of preparation." (*Solit v. Tokai Bank, Ltd. New York Branch* (1999) 68 Cal.App.4th 1435, 1448.) The trial court has wide discretion in determining whether to allow amendment, but "the appropriate exercise of that discretion requires the trial court to consider a number of factors: '*including the conduct of the moving*

		party and the belated presentation of the amendment.'" (*Leader v. Health Ind. of America, Inc.* (2001) 89 Cal.App.4th 603, 613, quoting *Bedolla v. Logan & Frazer* (1975) 52 Cal.App.3d 118, 135-136, italics original.) However, it is "an abuse of discretion to deny leave to amend where the opposing party was not misled or prejudiced by the amendment." (*Kittredge Sports Co. v. Superior Court* (1989) 213 Cal.App.3d 1045, 1048; see also *Morgan v. Superior Court* (1959) 172 Cal.App.2d 527, 530 ["If the motion to amend is timely made and the granting of the motion will not prejudice the opposing party, it is error to refuse permission to amend . . . ."], citations and quotations omitted.) It is also an abuse of discretion to refuse amendment where that "results in a party being deprived of the right to assert a meritorious cause of action or a meritorious defense." (*Morgan v. Superior Court*, *supra*, 172 Cal.App.2d at p. 530.) This is true even if leave to amend is sought as late as the time of trial or even during trial. (See *Higgins v. Del Faro* (1981) 123 Cal.App.3d 558, 564-565; *Rainer v. Community Memorial Hosp.* (1971) 18 Cal.App.3d 240, 251-256.) Thus, "[i]n the furtherance of justice, trial courts may allow amendments to pleadings and if necessary, postpone trial." (*Honig v. Financial Corp. of America* (1992) 6 Cal.App.4th 960, 965.) Here, Plaintiff seeks leave to amend the Complaint in order to add Patricia Garcia as an additional plaintiff. Because the First Amended Complaint only adds an additional party, it is based on the same general set of facts as the original Complaint. Thus, Plaintiff does not seek to change the facts or theories of the case. Further, Plaintiff states that Patricia Grace was inadvertently omitted from the original Complaint only through attorney inadvertence. (See Decl. of Dmitri N. Chtyrev, Esq. in Supp. of Mot. for Leave to File First Amend. Compl., ¶¶ 4, 6.) Further, there was no undue delay in attempting to correct this oversight. Here, Plaintiff's Counsel contacted Defendant's Counsel about filing the

		First Amended Complaint about 3 ½ months after filing the Complaint. (See *id.*, ¶ 9.) When Defendant refused to stipulate to amend the original Complaint, Plaintiff then moved to amend about 5 months after filing the original Complaint. (See ROA #2, #33.) Defendant contends that Defendant will be prejudiced by the amendment because some discovery has been completed and may need to be redone in light of the amendment. However, this is an issue that arises any time there is an amendment to the pleadings. It is not the type of undue prejudice sufficient to overcome the policy of liberality in allowing amendments, even up to and during trial. Further, trial is not set until March 15, 2027, so that all parties will have sufficient time to conduct discovery and prepare for trial. Defendant also argues that the amendment is futile because the statute of limitations has run on Patricia Grace's claims. Plaintiff responds that the added claims will relate back to the original Complaint. While Defendant disputes this, "the preferable practice would be to permit the amendment and allow the parties to test its legal sufficiency by demurrer, motion for judgment on the pleadings or other appropriate proceedings." (*Kittredge Sports Co. v. Superior Court* (1989) 213 Cal.App.3d 1045, 1048.) Thus, given the policy of liberality in allowing amendment of pleadings, the fact that the amendment will not change the basic facts or theory of the case, and the lack of prejudice to Defendant, the court will grant the motion for leave to amend. Plaintiff shall give notice of this ruling.
8	**Solter vs. Capsavage**	<u>Motion to Expunge *Lis Pendens*</u> Cross-Complainants Sigthora V. Solter's and Shirley Capsavage's Motion for an Order

	30-2023-01346312	Expunging the Recorded Notice of Pendency of Action (Lis Pendens) Recorded on November 20, 2023 Pursuant to CCP 405.30 et seq. is GRANTED. Plaintiff and Cross-Defendant Frederik Solter is ORDERED to pay Cross-Complainants Sigthora V. Solter and Shirley Capsavage reasonable attorney's fees in the amount of $1,750 (5 hours x $350 per hour) within 30 days of service of the notice of ruling. <u>Pending Motion</u> Cross-Complainants Sigthora V. Solter and Shirley Capsavage move to expunge the Notice of Pendency of Action recorded on November 20, 2023 (*Lis Pendens*) and for an award of attorney's fees in the amount of $3,850. <u>Expunging *Lis Pendens*</u> The Civil Procedure Code contains procedures to expunge *Lis Pendens*. Specifically, Civil Procedure Code section 405.30 states that: > At any time after notice of pendency of action has been recorded, any party, or any nonparty with an interest in the real property affected thereby, may apply to the court in which the action is pending to expunge the notice . . . . (Code Civ. Proc., § 405.30.) The party seeking to expunge the *lis pendens* may file evidence or declarations with the motion, or "[t]he court may permit evidence to be received in the form of oral testimony." (*Ibid.*) The court also "may make any orders it deems just to provide for discovery by any party affected by a motion to expunge the notice." (*Ibid.*) The court shall grant a motion to expunge if either: (1) the pleading upon which the *lis pendens* is based does not contain a real property claim; or (2) the claimant has not established by a preponderance of the evidence the probable validity of the real property claim. (Civil Proc. Code, §§ 405.31, 405.32.) The court may not order that an undertaking be

		given as a condition of expunging the notice "where the court finds the pleading does not contain a real property claim" or "if the court finds the claimant has not established the probable validity of the real property claim." (Civil Proc. Code, §§ 405.31, 405.32.) Where the court finds that the real property claim has probable validity, "but [that] adequate relief can be secured to the claimant by the giving of an undertaking," then the court shall grant the expungement order, "conditioned upon the giving of the undertaking of such nature and in such amount as will indemnify the claimant for all damages proximately resulting from the expungement which the claimant may incur if the claimant prevails upon the real property claim." (Code Civ. Proc., § 405.33; see *Kirkeby v. Superior Court* (2004) 33 Cal.4th 642, 651.) The burden of proof rests with the party responsible for filing the *lis pendens*. (See *Amalgamated Bank v. Super. Court* (2007) 149 Cal.App.4th 1003, 1007; *Shah v. McMahon* (2007) 148 Cal.App.4th 526, 529.) Here, Plaintiff and Cross-Defendant Frederik Solter filed a Notice of Pendency of Action (*Lis Pendens*) in this matter on November 20, 2023. Here, Cross-Complainants have established that on July 15, 2025, Plaintiff/Cross-Defendant dismissed the entire complaint upon which the *Lis Pendens* was based. (See ROA #120.) The matter then proceeded to trial on the Cross-Complainant's Cross-Complaint only and Cross-Complainants received a judgment in their favor. (See ROA #217.) Plaintiff/Cross-Defendant has the burden of establishing that the pleading upon which the *Lis Pendens* is based contains a real property claim and that the preponderance of the evidence shows the probable validity of the real property claim. Plaintiff/Cross-Defendant failed to file an opposition or respond to the motion. Thus, he has waived any arguments regarding this issue. (See *Nazir v. United Airlines, Inc.* (2009) 178 Cal.App.4th 243, 288 [failure to address or oppose issue in motion constitutes waiver of that issue]; see *DuPont Merck Pharmaceutical Co. v. Superior*

		Court (2000) 78 Cal.App.4th 562, 566 [holding that failure to challenge contention in brief results in the concession on that issue].) In any case, Plaintiff/Cross-Defendant cannot meet his burden because he has dismissed his Complaint and Cross-Complainants obtained a judgment on the Cross-Complaint. Therefore, the court will grant the motion to expunge. <u>Attorneys' Fees</u> Civil Procedure Code section 405.38 provides: > The court shall direct that the party prevailing on any motion [to expunge or record *lis pendens*] be awarded the reasonable attorney's fees and costs of making or opposing the motion unless the court finds that the other party acted with substantial justification or that other circumstances make the imposition of attorney's fees and costs unjust. (Civil Proc. Code, § 405.38.) "This is the same standard applicable to rulings on discovery motions." (Weil & Brown, Cal. Practice Guide: Civil Procedure Before Trial (The Rutter Group 2021) ¶ 9:463; see *Castro v. Superior Court* (2004) 116 Cal.App.4th 1010, 1023, fn. 13.) As the Court of Appeal has explained: > Section 405.38 changed the law by *requiring* (as opposed to merely authorizing) a court to award attorney's fees and costs to the party prevailing on a motion to expunge, unless the other party acted with substantial justification or other circumstances would make such an award unjust. The Legislature intended these revisions to discourage abuse and make it easier to remove a recorded lis pendens before trial. (*Shoker v. Superior Court of Alameda County* (2022) 81 Cal.App.5th 271, 280–281, italics original; see *J & A Mash & Barrel, LLC v. Superior Court* (2022) 74 Cal.App.5th 1, 42, ["The purpose

		underlying section 405.38 is to curtail misuse of the *lis pendens* procedure."].) As noted above, Plaintiff/Cross-Defendant failed to file an opposition or respond to the motion and therefore, has not shown that he acted with substantial justification or that other circumstances make the imposition of attorney's fees unjust. However, Cross-Complainants' request for attorney's fees includes time for reviewing the opposition and preparing a reply. Cross-Complainants' Counsel did not have to engage in these tasks as Plaintiff/Cross-Defendant did not file an opposition. The court will reduce the amount of attorney's fees accordingly. Cross-Complainants shall give notice of this ruling.
9	**Kim vs. Williams** **30-2023-01317262**	<u>Motion for Summary Judgment and/or Summary Adjudication</u> There is no written tentative ruling at this time. The court will hear from the parties or their counsel at hearing on this matter.
10	**Sunday vs. Kazweeny** **30-2025-01476760**	<u>Demurrers</u> Defendant Lightspeed Escrow, Inc.'s Demurrer to Plaintiffs' First Amended Complaint, Code of Civil Procedure § 430.41 is OVERRULED as to the 4th Cause of Action, and SUSTAINED with 15 days leave to amend as to the 1st, 2nd, 3rd, 5th, 6th, and 7th Causes of Action. Defendants Ahmed Kazweeny's and Reeland Investments LLC's Demurrer to Plaintiffs' First [sic] Complaint, Code of Civil Procedure § 430.41 is OVERRULED as to the 1st and 4th Causes of Action, and SUSTAINED with 15 days leave to amend as to the 2nd, 3rd, 5th, 6th, and 7th Causes of Action. If Plaintiffs Karen Sunday & Associates, Inc. and Karen Sunday do not amend the First Amended

		Complaint within the period of time stated above, Defendant Light Speed Escrow, Inc.; Ahmed Kazweeny; and Reeland Investments LLC shall file an answer or other pleading in response to the remaining causes of action of the First Amended Complaint within 10 days of the expiration of the period of time to amend. (See Cal. Rules of Court rule 3.1320(j).) Defendants' Ahmed Kazweeny's; Reeland Investments LLC's; and Lightspeed Escrow, Inc.'s Request for Judicial Notice in Support of Demurrer to Plaintiffs' First [sic] Complaint, Code of Civil Procedure § 430.41 is GRANTED. (See Evid. Code, § 452, subd. (h).) <u>Pending Motions</u> Defendant Light Speed Escrow, Inc. (Defendant Lightspeed) demurs to the 1st through 7th Causes of Action of the First Amended Complaint (FAC) filed by Plaintiffs Karen Sunday & Associates, Inc. (Plaintiff Associates, Inc.) and Karen Sunday (Plaintiff Sunday). Defendant Ahmed Kazweeny (Defendant Kazweeny) and Defendant Reeland Investments LLC (Defendant Reeland) also demur to the 1st through 7th Causes of Action of the FAC. <u>Standard for Demurrer</u> A demurrer challenges only the legal sufficiency of the affected pleading, not the truth of the factual allegations in the pleading or the pleader's ability to prove those allegations. (*Cundiff v. GTE Cal., Inc.* (2002) 101 Cal.App.4th 1395, 1404-05.) For this reason, the court will not decide questions of fact on demurrer. (See *Berryman v. Merit Prop. Mgmt., Inc.* (2007) 152 Cal.App.4th 1544, 1556.) Instead, the court "treat[s] the demurrer as admitting all material facts properly pleaded, but not contentions, deductions or conclusions of fact or law . . . ." (*Serrano v. Priest* (1971) 5 Cal.3d 584, 591, citation omitted; see *Blank v. Kirwan* (1985) 39 Cal.3d 311, 318). Therefore, the court will not consider facts that have not been alleged in the complaint unless they may be reasonably inferred from the matters alleged or are proper subjects of judicial notice.

		(*Hall v. Great W. Bank* (1991) 231 Cal.App.3d 713, 718 fn.7.) However, "where facts appearing in attached exhibits or judicially noticed documents contradict, or are inconsistent with, the complaint's allegations, we must rely on the facts in the exhibits and judicially noticed documents." (*Jimenez vs. Mrs. Gooch's Natural Foods Markets, Inc.* (2023) 95 Cal.App.5th 645, 653.) Although courts should take a liberal view of inartfully drawn pleadings, (see Code Civ. Proc., § 452), it remains essential that a pleading set forth the actionable facts relied upon with sufficient precision to inform the responding party of the matters that the pleading party is alleging, and what remedies or relief is being sought, (see *Leek v. Cooper* (2011) 194 Cal.App.4th 399, 413). Bare conclusions of law devoid of any facts are insufficient to withstand demurrer. (*Schmid v. City and County of San Francisco* (2021) 60 Cal.App.5th 470, 481; see Code Civ. Proc., § 425.10, subd. (a).) <u>1st Cause of Action (Breach of Contract)</u> The 1st Cause of Action is asserted only by Plaintiff Associates, Inc. and alleges that Defendants breached the parties' joint venture agreements by misappropriating Plaintiff Associates, Inc.'s capital investment, which should have been repaid as a priority payment upon sale of the two properties. (See FAC, ¶¶ 12-17.) "[T]he elements of a cause of action for breach of contract are (1) the existence of the contract, (2) plaintiff's performance or excuse for nonperformance, (3) defendant's breach, and (4) the resulting damages to the plaintiff." (*Oasis West Realty, LLC v. Goldman* (2011) 51 Cal.4th 811, 821.) Defendant Lightspeed contends that the contract claim against it fails because there is no contract alleged between Plaintiffs and Defendants. Plaintiffs concede that the 1st Cause of Action is not directed at Defendant Lightspeed. Defendant Kazweeny demurs to the contract claim on the ground that he did not sign and is not a party to either contract.

		However, this is inconsistent with the allegations of the FAC and the copies of the FAC attached to the Complaint, which the court must accept as true. (See FAC, ¶¶ 12, 14, Exh.s A, B.) The FAC alleges facts to support the remaining elements of a breach of contract, including Plaintiff Associates, Inc.'s performance in advancing the funds, Defendants Kazweeny's and Reeland's breach, and the resulting damage to Plaintiff Associates, Inc.. (See FAC, ¶¶ 13, 15-17.) The court will sustain Defendant Lightspeed's demurrer to the 1st Cause of Action and overrule Defendants Kazweeny's and Reeland's demurrer to the 1st Cause of Action. <u>2nd Cause of Action (Promissory Fraud)</u> The FAC alleges Defendants fraudulently promised to secure Plaintiff Associates, Inc.'s capital contribution with a deed of trust and that the capital contribution would receive priority status and be fully paid upon closing. (See FAC, ¶¶ 14, 27.) "'Promissory fraud' is a subspecies of the action for fraud and deceit. A promise to do something necessarily implies the intention to perform; hence, where a promise is made without such intention, there is an implied misrepresentation of fact that may be actionable fraud." (*Lazar v. Superior Court*, *supra*, 12 Cal.4th at p. 638). "[P]romissory fraud requires proof of '(1) a promise made regarding a material fact without any intention of performing it; (2) the existence of the intent not to perform at the time the promise was made; (3) intent to deceive or induce the promisee to enter into a transaction; (4) reasonable reliance by the promisee; (5) nonperformance by the party making the promise; and (6) resulting damage to the promise[e].' [Citation.]" (*Gruber v. Gruber* (2020) 48 Cal.App.5th 529, 540, quoting *Behnke v. State Farm General Ins. Co.* (2011) 196 Cal.App.4th 1443, 1453.) "In California, fraud must be pled specifically . . . ." (*Lazar vs. Superior Court* (1996) 12 Cal.4th 631, 645; see also *Linear Technology Corp. v. Applied Materials, Inc.* (2007) 152 Cal.App.4th

		115, 132 ["Fraud must be pleaded with specificity."].) As the Court of Appeal has explained: > This means: (1) general pleading of the legal conclusion of fraud is insufficient; and (2) every element of the cause of action for fraud must be alleged in full, factually and specifically, and the policy of liberal construction of pleading will not usually be invoked to sustain a pleading that is defective in any material respect. (*Wilhelm v. Pray, Price, Williams & Russell* (1986) 186 Cal.App.3d 1324, 1331.) "The specificity requirement means a plaintiff must allege facts showing how, when, where, to whom, and by what means the representations were made, and, in the case of a corporate defendant, the plaintiff must allege the names of the persons who made the representations, their authority to speak on behalf of the corporation, to whom they spoke, what they said or wrote, and when the representation was made." (*West v. JPMorgan Chase Bank, N.A.* (2013) 214 Cal.App.4th 780, 793.) Here, the FAC alleges no false promise by Defendant Lightspeed. In addition, with respect to Defendants Kazweeny and Reeland, the FAC does not allege with specificity who made the alleged false promise(s), facts supporting each Defendant's intent not to perform, or facts supporting each Defendant's intent to induce reliance. The conclusory allegations in Paragraph 28 do not suffice. The court will sustain all of the Defendants' demurrers to the 2nd cause of action. <u>3rd Cause of Action (Negligent Misrepresentation)</u> The FAC alleges Defendants negligently misrepresented misappropriating Plaintiff's funds in violation of the terms of Agreement I and Agreement II. (See FAC, ¶ 31.) "The elements of a negligent misrepresentation [cause of action] are '(1) the misrepresentation of a past or existing material fact, (2) without

		reasonable ground for believing it to be true, (3) with intent to induce another's reliance on the fact misrepresented, (4) justifiable reliance on the misrepresentation, and (5) resulting damage.' Negligent misrepresentation does not require knowledge of falsity, unlike a cause of action fraud." (*Tindell v. Murphy* (2018) 22 Cal.App.5th 1239, 1252, no citation given for quotation.) "[A] positive assertion is required; an omission or an implied assertion or representation is not sufficient." (*Apollo Capital Fund, LLC v. Roth Capital Partners, LLC* (2007) 158 Cal.App.4th 226, 243.) "Causes of action for intentional and negligent misrepresentation sound in fraud and, therefore, each element must be pleaded with specificity." (*Daniels v. Select Portfolio Servicing, Inc.* (2016) 246 Cal.App.4th 1150, 1166, overruled on other grounds, *Sheen v. Wells Fargo Bank, N.A.* (2022) 12 Cal.5th 905, 919-920, 948, fn.12.) Here, the FAC does not allege with specificity what false statement(s) of material fact (if any) were made by the Defendants, facts supporting the Defendants' intent to induce reliance, or Plaintiffs' reasonable reliance on the alleged negligently misrepresented fact(s). The court will sustain all of the Defendants' demurrers to the 3rd cause of action. <u>4th Cause of Action (Violation of Penal Code § 496(c))</u> The FAC alleges an unidentified "Defendant" misappropriated no less than $594,000 in Plaintiffs' investment funds. (See FAC, ¶ 36.) Penal Code section 496(a) states that "[e]very person who buys or receives any property that has been stolen or that has been obtained in any manner constituting theft or extortion, knowing the property to be so stolen or obtained, or who conceals, sells, withholds, or aids in concealing, selling, or withholding any property from the owner, knowing the property to be so stolen or obtained, shall be punished. . . ." (Penal Code, § 496, subd. (a).) Penal Code section 496(c) also allows any person who has been injured by a violation of Section

		496(a) to bring a civil claim against the violator. (See Penal Code, § 496, subd. (c).) The elements of a civil claim under Penal Code Section 496 are: (1) that particular property was stolen; (2) that the accused received, concealed, or withheld the property from the owner thereof; (3) that the accused knew that the property was stolen, and (4) that this caused harm to the owner. (*Finton Construction, Inc. v. Bidna & Keys, APLC (*2015) 238 Cal.App.4th 200, 213; see also Penal Code, § 484, subd. (a) [defining "theft" to include fraudulent appropriation of money or property by false pretenses].) Defendants contend that the FAC fails to allege that any of them obtained by theft or fraud any property belonging to Plaintiffs. Defendants argue that the allegation that Defendant Lightspeed credited $195,000 to Defendant Reeland is insufficient to support a claim for violation of Penal Code section 496(c).) Here, the FAC alleges that Defendant Lightspeed improperly credited Defendant Reeland with $195,000, and Plaintiff Associates, Inc.'s investment, which should have been repaid as a priority payment to Plaintiff Associates, Inc., was instead deposited into a bank account controlled by all Defendants. (FAC, ¶ 17.) These allegations are sufficient to make out a claim for Violation of Penal Code section 496(c). The court will overrule all of the Defendants' demurrers to the 4th cause of action. <u>5th Cause of Action (Breach of Fiduciary Duty)</u> The FAC alleges Defendants breached their fiduciary duty and duty of loyalty to Plaintiffs, by misappropriating Plaintiffs' funds, depositing funds until a bank account controlled by Defendants, failing to disclose the Sunnybrook sale, and thereafter misusing the funds as security for financing other properties. (FAC, ¶ 38.) The elements of a breach of fiduciary duty are: (1) existence of a fiduciary duty; (2) breach of the fiduciary duty; and (3) damage proximately caused by the breach. (*Oasis West Realty, LLC v.*

		Goldman (2011) 51 Cal.4th 811, 820; *Stanley v. Richmond*, (1995) 35 Cal.App.4th 1070, 1086.) "[B]efore a person can be charged with a fiduciary obligation, he must either knowingly undertake to act on behalf and for the benefit of another, or must enter into a relationship which imposes that undertaking as a matter of law." (*Committee on Children's Television, Inc. v. General Foods Corp.* (1983) 35 Cal.3d 197, 221, superseded by statute on other grounds, *Californians for Disability Rights v. Mervyn's, LLC* (2006) 39 Cal.4th 223, 227.) Defendant Lightspeed argues that the FAC alleges no facts to establish a fiduciary duty owed to Plaintiffs, as the only alleged joint venture relationship was between Plaintiffs, Defendant Kazweeny, and Defendant Reeland. (FAC, ¶ 38.) Plaintiffs contend Defendant Lightspeed is liable as Defendant Kazweeny's alter ego for the breach of fiduciary duty. Reverse veil piercing is not available to plaintiffs seeking to pierce the corporate veil to reach corporate assets to satisfy a shareholder's personal liability. (*Postal Instant Press, Inc. v. Kaswa Corp.* (2008) 162 Cal.App.4th 1510, 1513.) Defendants Kazweeny and Reeland contend that the breach of fiduciary duty claim fails because there are no facts establishing that either of them owed a fiduciary duty to Plaintiffs. Defendants are correct. The fact that Defendants Kazweeny and Reeland had a contractual relationship with Plaintiffs does not, by itself, create a fiduciary duty. (See *Gilman v. Dalby* (2009) 176 Cal.App.4th 606, 614 ["Absent [a fiduciary] relationship, a plaintiff cannot turn an ordinary breach of contract into a breach of fiduciary duty based solely on the breach of the implied covenant of good faith and fair dealing contained in every contract."].) The court will sustain all of the Defendants' demurrers to the 5th cause of action. <u>6th Cause of Action (Fraudulent Concealment)</u> The FAC alleges Defendants concealed among other things that Defendants had sold the

		Sunnybrook Property and used Plaintiffs' investment funds to purchase other properties. (See FAC, ¶¶ 13, 17, 44.) "[T]he elements of an action for fraud and deceit based on a concealment are: (1) the defendant must have concealed or suppressed a material fact, (2) the defendant must have been under a duty to disclose the fact to the plaintiff, (3) the defendant must have intentionally concealed or suppressed the fact with the intent to defraud the plaintiff, (4) the plaintiff must have been unaware of the fact and would not have acted as he did if he had known of the concealed or suppressed fact, and (5) as a result of the concealment or suppression of the fact, the plaintiff must have sustained damage." (*Boschma v. Home Loan Center, Inc*. (2011) 198 Cal.App.4th 230, 248.) In order to hold a defendant liable for the nondisclosure of facts, a plaintiff must show that the defendant was under a legal duty to disclose those facts. (*Warner Constr. Corp. v. City of Los Angeles* (1970) 2 Cal.3d 285, 294.) The duty to disclose may arise in four circumstances: "(1) when the defendant is in a fiduciary relationship with the plaintiff, (2) when the defendant had exclusive knowledge of material facts not known to the plaintiff, (3) when the defendant actively conceals a material fact from the plaintiff and (4) when the defendant makes partial representations but also suppresses some material facts." (*Heliotis v. Schuman* (1986) 181 Cal.App.3d 646, 651.) "If the duty allegedly arose by virtue of the parties' relationship and defendant's exclusive knowledge or access to certain facts, . . . the complaint must also include specific allegations establishing all the required elements, including (1) the content of the omitted facts, (2) defendant's awareness of the materiality of those facts, (3) the inaccessibility of the facts to plaintiff, (4) the general point at which the omitted facts should or could have been revealed, and (5) justifiable and actual reliance, either through action or forbearance, based on the defendant's omission. '[M]ere conclusionary allegations that the omissions were intentional and for the purpose of defrauding and deceiving plaintiff[ ] . . . are insufficient for the foregoing

		purposes.'" (*Rattagan v. Uber Technologies, Inc.* (2024) 17 Cal.5th 1, 43–44, quoting *Goodman v. Kennedy* (1976) 18 Cal.3d 335, 347.) Defendants correctly argue that the FAC alleges no facts to support a duty to disclose and the FAC's conclusory allegations lack the specificity required for fraud cause of action. While Plaintiffs contend that Defendant Lightspeed is liable as Defendant Kazweeny's alter ego, as discussed above, reverse veil piercing is not available to Plaintiffs here. (*Postal Instant Press, Inc. v. Kaswa Corp.*, *supra*, 162 Cal.App.4th at p. 1513.) The court will overrule all of the Defendants' demurrers to the 6th cause of action. <u>7th Cause of Action (Conversion)</u> The elements of a conversion claim are: (1) the plaintiff's ownership or right to possession of the property; (2) the defendant's conversion by a wrongful act or disposition of property rights; and (3) damages. (*Lee v. Hanley* (2015) 61 Cal.4th 1225, 1240.) "[M]oney cannot be the subject of a conversion action unless a specific sum capable of identification is involved." (*Software Design & Application, Ltd. v. Hoefer & Arnett, Inc.* (1996) 49 Cal.App.4th 472, 485.) "[C]ases recognizing claims for the conversion of money 'typically involve those who have misappropriated, commingled, or misapplied specific funds held for the benefit of others.'" (*Voris v. Lampert* (2019) 7 Cal.5th 1141, 1152, quoting *PCO, Inc. v. Christensen, Miller, Fink, Jacobs, Glaser, Weil & Shapiro, LLP* (2007) 150 Cal.App.4th 384, 394.) As a result, "'a mere contractual right of payment, without more, will not suffice' to support a claim for conversion." (*Rutherford Holdings, LLC v. Plaza Del Rey* (2014) 223 Cal. App. 4th 221, 233, quoting Farmers Ins. Exchange v. Zerin (1997) 53 Cal.App.4th 445, 452; see also *Vu v. California Commerce Club, Inc.* (1997) 58 Cal.App.4th 229, 235 (where plaintiffs failed to "identify any specific, identifiable sums that the [defendant]

		took from them[, t]hat rendered the generalized claim for money not actionable as conversion.”) Plaintiffs concede that the 7th Cause of Action should be dismissed. Therefore, the court will sustain all of the Defendants’ demurrers to the 7th cause of action. <u>Alter Ego Liability, Aiding and Abetting, and/or Conspiracy Liability</u> Defendants attack the FAC’s alter ego, aiding and abetting, and conspiracy allegations in their demurrers. However, “[a] demurrer must dispose of an entire cause of action to be sustained.” (*Fremont Indemnity Co. v. Fremont General Corp.* (2007) 148 Cal.App.4th 97, 119.) Here, the alter ego, aiding and abetting, and conspiracy allegations do not form an complete cause of action. They are only allegations stated in support of the 1st through 8th Causes of Action. Therefore, the court will overrule the demurrer to these allegations. <u>Uncertainty</u> “A demurrer for uncertainty is strictly construed, even where a complaint is in some respects uncertain, because ambiguities can be clarified under modern discovery procedures.” (*Khoury v. Maly’s of California, Inc.* (1993) 14 Cal.App.4th 612, 616.) Demurrers for uncertainty “are granted only if the pleading is so incomprehensible that a defendant cannot reasonably respond.” (*Lickiss v. Fin. Indus. Regulatory Auth.* (2012) 208 Cal.App.4th 1125, 1135.) “[A] demurrer for uncertainty will not be sustained where the facts claimed to be uncertain or ambiguous are presumptively within the knowledge of the demurring party.” (*Ching v. Dy Foon* (1956) 143 Cal.App.2d 129, 136.) “[U]nder our liberal pleading rules, where the complaint contains substantive factual allegations sufficiently apprising defendant of the issues it is being asked to meet, a demurrer for uncertainty should be overruled or plaintiff given leave to

amend." (*A.J. Fistes Corp. v. GDL Best Contractors, Inc.* (2019) 38 Cal.App.5th 677, 695.)

Here, the FAC is not so poorly pled that Defendants cannot reasonably respond and any ambiguities can be clarified in discovery.

The court will overrule the demurrer on this basis.

Leave to Amend

"It is an abuse of the trial court's discretion to sustain a demurrer without leave to amend if there is a reasonable possibility the plaintiff can amend the complaint to allege any cause of action." (*Smith v. State Farm Mutual Automobile Ins. Co.* (2001) 93 Cal.App.4th 700, 711.)

However, it is the plaintiff's "burden to establish how the complaint can be amended to state a valid cause of action." (*Sanowicz v. Bacal* (2015) 234 Cal.App.4th 1027, 1044.) In order to meet this burden, a plaintiff may submit a proposed amended complaint or enumerate facts and demonstrate how those facts establish a cause of action. (See *Cantu v. Resolution Trust Corp.* (1992) 4 Cal.App.4th 857, 890.)

Nonetheless, "for an original complaint, regardless whether the plaintiff has requested leave to amend, it has long been the rule that a trial court's denial of leave to amend constitutes an abuse of discretion unless the complaint 'shows on its face that it is incapable of amendment.'" (*Eghtesad v. State Farm General Insurance. Co.* (2020) 51 Cal.App.5th 406, 411, quoting *King v. Mortimer* (1948) 83 Cal.App.2d 153, 158; see *Cabral v. Soares* (2007) 157 Cal.App.4th 1234, 1240 ["Only rarely should a demurrer to an initial complaint be sustained without leave to amend."].)

As the Court of Appeal has explained: "Liberality in permitting amendment is the rule, if a fair opportunity to correct any defect has not been given." (*Angie M. v. Superior Court* (1995) 37 Cal.App.4th 1217, 1227.)

Here, Plaintiffs have requested leave to amend and they have not had a prior opportunity to amend in response to the court's ruling. Therefore, the court will exercise its discretion and

		grant leave to amend. The parties are reminded that, when leave to amend is granted upon the sustaining of a demurrer or motion to strike, amendments are limited to the issues addressed in the court's ruling and generally may not include amendments to causes of action not addressed in the ruling or the addition of new causes of action. (See *Community Water Coalition v. Santa Cruz County Local Agency Formation Com.* (2011) 200 Cal.App.4th 1317, 1329 ["It is the rule that when a trial court sustains a demurrer with leave to amend, the scope of the grant of leave is ordinarily a limited one. It gives the pleader an opportunity to cure the defects in the particular causes of action to which the demurrer was sustained, but that is all."].) <u>Motion to Strike</u> Defendants Ahmed Kazweeny's; Reeland Investments LLC's; and Lightspeed Escrow, Inc.'s Motion to Strike Portions of First Amended Complaint, Code of Civil Procedure § 435.5 is GRANTED with 15 days leave to amend as to the allegations and prayer for relief for constructive trust (FAC, ¶ 18, Prayer for Relief, ¶ 4) and punitive damages (FAC ¶¶ 19, 31, 42, 46, and Prayer for Relief¶ 2), and is DENIED as to the allegations as to attorney's fees and costs (FAC ¶ 19). If Plaintiffs Karen Sunday & Associates, Inc. and Karen Sunday do not amend the First Amended Complaint within the period of time stated above, Defendant Light Speed Escrow, Inc.; Ahmed Kazweeny; and Reeland Investments LLC shall file an answer or other pleading in response to the remaining causes of action of the First Amended Complaint within 10 days of the expiration of the period of time to amend. (See Cal. Rules of Court rule 3.1320(j).) <u>Pending Motion</u> Defendants Ahmed Kazweeny; Reeland Investments LLC; and Lightspeed Escrow, Inc. move to strike allegations and prayers for relief relating to constructive trust, punitive damages, and attorney's fees and costs, contained in the First Amended Complaint (FAC) filed by Plaintiffs

		Karen Sunday & Associates, Inc. (Plaintiff Associates, Inc.) and Karen Sunday (Plaintiff Sunday). <u>Standard for Motion to Strike</u> A party may move to strike out any irrelevant, false, or improper matter inserted in any pleading or strike out all or any part of any pleading not drawn or filed in conformity with the laws of this state, a court rule, or an order of the court. (Code Civ. Proc., § 436.) "Irrelevant" matters include: allegations not essential to the claim, allegations neither pertinent to nor supported by an otherwise sufficient claim, or a demand for judgment requesting relief not supported by the allegations of the complaint. (Code Civ. Proc., § 431.10, subd. (b).) A party may also request to strike legal conclusions. (Weil & Brown, Cal. Prac. Guide, Civil Proc. before Trial, ¶ 7:179 (2010).) Specifically, conclusory allegations that are not supported by factual allegations in the complaint may be stricken. (*Perkins v. Superior Court* (1981) 117 Cal.App.3d 1, 6.) For example, prayers for relief that lack factual foundation may be stricken from a complaint. (See *Turman v. Turning Point of Central Calif., Inc.* (2010) 191 Cal.App.4th 53, 63 [trial court properly struck prayer for punitive damages where complaint failed to allege sufficient facts to show that defendant acted with malice, oppression, or fraud].) The grounds for a motion to strike must appear on the face of the pleading or from matters which the court may judicially notice. (See Code Civ. Proc., § 437.) However, pleadings are to be construed liberally with a view to substantial justice. (Code Civ. Proc., § 452; Weil & Brown, Cal. Prac. Guide, Civil Proc. before Trial, ¶ 7:197 (2010).) "In passing on the correctness of a ruling on a motion to strike, judges read allegations of a pleading subject to a motion to strike as a whole, all parts in their context, and assume their truth. In ruling on a motion to strike, courts do not read allegations in isolation." (*Clauson v. Superior*

		Court (1998) 67 Cal.App.4th 1253, 1255, citations omitted.) Here, Plaintiffs seek a constructive trust securing "her 50% interest in the profits" Defendants receive from the sale of four properties identified in Paragraph 17 of the FAC, but fail to alleges facts to showing that Plaintiffs are entitled to a 50% interest in the profits from each property. To obtain punitive damages, a plaintiff must plead and prove one of the following: malice, oppression, or fraud. (See Civil Code, § 3294, subd. (a).) "Malice" is defined as "conduct which is intended by the defendant to cause injury to the plaintiff or despicable conduct which is carried on by the defendant with a willful and conscious disregard of the rights or safety of others." (Civil Code, § 3294, subd. (a)(1).) "Oppression" means "despicable conduct that subjects a person to cruel and unjust hardship in conscious disregard of that person's rights." (Civil Code, § 3294, subd. (a)(2).) "Fraud" is defined as "an intentional misrepresentation, deceit, or concealment of a material fact known to the defendant with the intention on the part of the defendant of thereby depriving a person of property or legal rights or otherwise causing injury." (Civil Code, § 3294, subd. (a)(3).) The FAC contains no factual allegations establishing that Defendants acted with malice, oppression or fraud. Finally, Defendants do not explain why the allegations regarding attorney's fees and costs should be stricken. Therefore, the court will grant the motion as to constructive trust and punitive damages, and deny the motion as to attorney's fees and costs. <u>Leave to Amend (After Granting Demurrer or Motion to Strike)</u> In ruling on a motion to strike, the court employs the same liberality to amend as used for demurrers. As long as there is a reasonable

		possibility that plaintiffs can cure the defects, leave to amend is appropriate. (See *Grieves v. Superior Court* (1984) 157 Cal.App.3d 159, 168; *Price v. Dames & Moore* (2001) 92 Cal.App.4th 355, 360.) For the reasons stated with respect to Defendants' demurrers, the court will exercise its discretion and grant leave to amend with respect to the motion to strike. The parties are reminded that, when leave to amend is granted upon the sustaining of a demurrer or motion to strike, amendments are limited to the issues addressed in the court's ruling and generally may not include amendments to causes of action not addressed in the ruling or the addition of new causes of action. (See *Community Water Coalition v. Santa Cruz County Local Agency Formation Com.* (2011) 200 Cal.App.4th 1317, 1329 ["It is the rule that when a trial court sustains a demurrer with leave to amend, the scope of the grant of leave is ordinarily a limited one. It gives the pleader an opportunity to cure the defects in the particular causes of action to which the demurrer was sustained, but that is all."].) Defendants shall give notice of these rulings.